TRADING FOUNDRY

PLAYBOOK 10 / 15 · INTERMEDIATE

THE SWING TRADING BLUEPRINT.

Holding positions for days to weeks by combining higher-timeframe structure, pullback entries and wide, patient trade management.



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WATCH THE FILM, THEN READ THE BOOK.

This playbook goes deeper than the video can. Watch the companion film first for the method in motion, then work through the chapters at your own pace. Scan a code with your phone camera.

COMPANION FILM

Timeframes Explained: Why Two Traders See Opposite Things

youtube.com/watch?v=5kAeYrW4Y7g

THE SWING TRADING BLUEPRINT.

THE COMPLETE COURSE

Trading Foundry University — Playbook 10 of 15

First Edition — 2026

> This book is educational content only and is not financial advice. Nothing in it is a recommendation to buy or sell any instrument. Every chart, trade and number used here is an illustration of a technique, not a signal, and past examples say nothing about future results. Trading foreign exchange on margin carries a substantial risk of loss and is not suitable for everyone. Never trade with money you cannot afford to lose, and consider seeking independent professional advice before risking capital.

HOW TO USE THIS BOOK.

This is the tenth course in the Trading Foundry University, and it is the one we suspect most readers actually need. Courses one to nine gave you the raw materials: structure, support and resistance, candlesticks, risk. This book assembles them into a complete way of trading for people who have jobs, families, and better things to do at 2pm on a Tuesday than stare at a five-minute chart.

Swing trading means holding positions for days to weeks. That changes almost everything about how you analyse, enter, manage and — crucially — feel about trades. So read this book in order. The chapters build: the case for the style, then the top-down analysis that drives it, then market selection, entries, management, the awkward realities of holding overnight, and finally the routines and records that keep the whole thing honest. Chapter 9 walks a single illustrative trade from weekly chart to journal entry, so everything before it has a payoff.

Three requests before you start.

First, do the work at the charts. Every framework in this book — the top-down sequence, the pullback entry checklist, the end-of-day routine — is meant to be tested by you, on your markets, in a demo account or at minimal size, before you trust it with meaningful money. We give you frameworks. We do not give you signals, and anyone who does should worry you.

Second, be honest about your circumstances. This book argues that swing trading fits working adults better than day trading does. That argument only holds if you actually give it the twenty to forty minutes a day it needs, at roughly the same time each day. Sporadic attention is worse than none.

Third, keep a journal from chapter one, not chapter eight. Swing trading produces perhaps two to six trades a month. At that rate, your sample builds slowly, and every unrecorded trade is evidence thrown away.

Take your time. The market will still be there next week. That, as you're about to read, is rather the point.

CHAPTER 1 — THE CASE FOR SWING TRADING: TIME, TEMPERAMENT AND LIFESTYLE.

Let's start with an uncomfortable truth the industry rarely says out loud: most retail traders try to day trade, and most retail traders have full-time jobs. Those two facts do not fit together. Day trading demands hours of live screen time during specific sessions, fast decisions under pressure, and enough trades per week that small edges can express themselves. Trying to do that on your lunch break, on your phone, between meetings, is not a smaller version of day trading. It is a different and much worse activity.

Swing trading is the honest alternative. You analyse once a day, at a time you choose. You hold positions for days to weeks. You make a handful of decisions per month rather than dozens per day. Your edge, if you build one, comes from patience and preparation rather than reflexes. For most people reading this — people with commutes, kids, and a boss — it is not merely a valid style. It is the only style that fits the life they actually have.

WHAT SWING TRADING ACTUALLY IS

A swing trade attempts to capture one "swing" of a market move: a leg within a larger trend, typically lasting from a couple of days to a few weeks. On a daily chart of a trending currency pair you will see the price advance, pull back, advance again. The swing trader's job is to identify the trend on the higher timeframes, wait for the pullback, enter as the trend resumes, and hold until the leg matures or the idea is proven wrong.

That means your working timeframes are the weekly, the daily and the four-hour. Your stop-losses are wide — often 60 to 150 pips on a major pair — and your targets are wider still. Your position sizes are correspondingly smaller than a day trader's, because risk per trade is defined by account percentage, not pip count. If that last sentence surprised you, revisit our risk course before going further; nothing in this book works without it.

A typical month might contain three trades. Some months contain none. This is the first temperament test: can you regard doing nothing as a professional act? Because in swing trading, most days, doing nothing is precisely the job.

THE LIFESTYLE CASE, SOLD HONESTLY

Here is the sales pitch you'll find elsewhere: trade thirty minutes a day, live free. Here is ours: swing trading is compatible with employment, mostly boring, occasionally uncomfortable, and structurally kinder to your decision-making than any faster style. We think that's a better offer, because it's true.

The daily routine is real and modest. When the New York session closes and the daily candle completes — 10pm in London for most of the year — the day's information is final. You review your watchlist, update your levels, check any open positions against their plans, and either place orders or close the laptop. Twenty minutes on a quiet day, forty on a busy one. Chapter 7 gives you the full routine. The point for now: the analysis happens once, on closed candles, when you are not being rushed by a moving price.

Now the costs, because there are costs. You will hold positions overnight, which means swap charges and gap risk — chapter 6 deals with both without flinching. You will watch open profit evaporate during pullbacks and be expected to sit still. You will sometimes wait two weeks for a setup, take it, and get stopped out in a day. And you will be bored. Genuinely, frequently bored. Boredom is the tax swing traders pay instead of stress, and it's a better deal, but it is not nothing: bored traders invent trades, and invented trades are where accounts go to die.

TEMPERAMENT: THE REAL ENTRY REQUIREMENT

Two traders can run the identical strategy and get opposite results, purely on temperament. Swing trading suits you if you can act decisively once a day and then leave things alone; if uncertainty over days doesn't gnaw at you; if you'd rather be roughly right slowly than precisely wrong quickly. It suits you less if you crave action, need constant feedback, or find an open position occupying your thoughts in meetings. Some of that is trainable. Some of it isn't, and it's cheaper to find out on a demo account than a live one.

There is also a numbers case, and we'll make it without inventing statistics. Slower styles reduce the number of decisions you make, and each decision is an opportunity for error — mis-sized positions, revenge trades, fat fingers. They reduce trading costs as a proportion of each trade, because a two-pip spread matters far less against a 200-pip target than a ten-pip one. And they let you trade on end-of-day data, where you compete less on speed — the one dimension where a retail trader at a kitchen table is hopelessly outgunned.

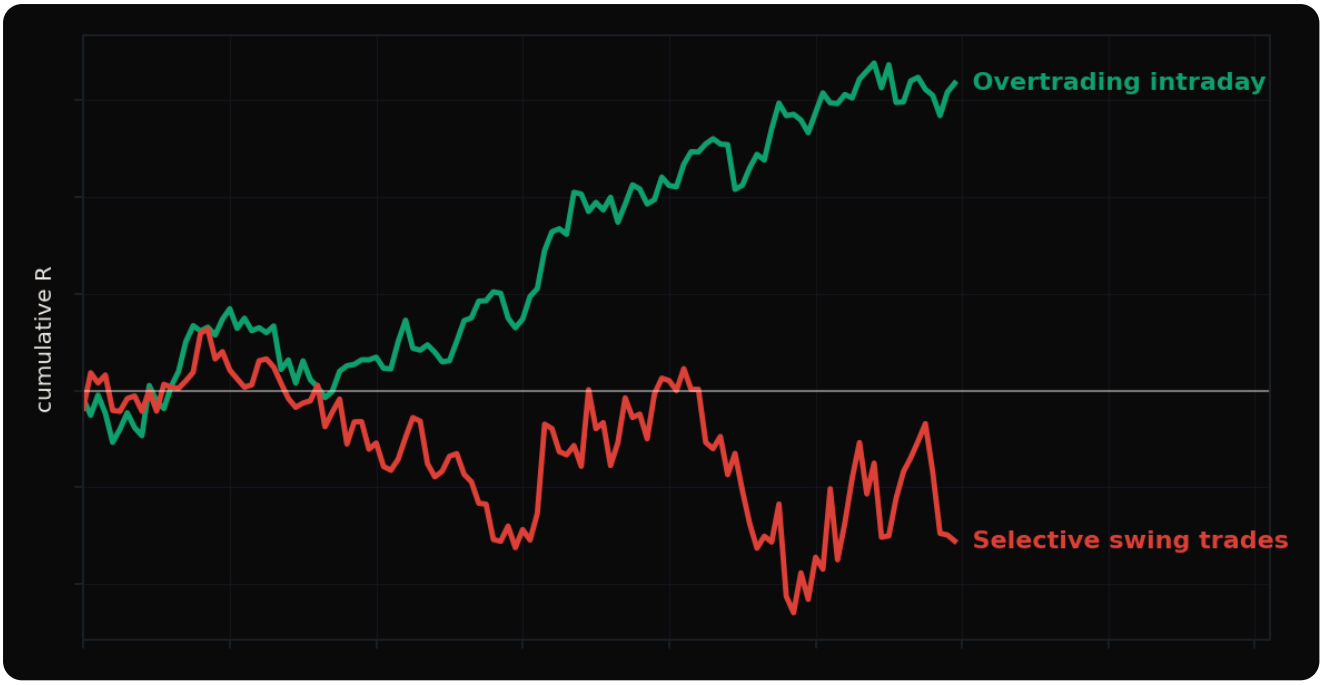


FIGURE. Two stylised equity curves: a trader forcing many small rushed trades against one taking a few prepared ones. The lesson is not that swing trading guarantees the smoother line — it's that fewer, calmer decisions give whatever edge you have room to show itself.

One last framing before we begin the technical work. Swing trading does not remove the difficulty of trading; it relocates it. The day trader's difficulty is speed under pressure. Yours will be patience under uncertainty: sitting on your hands while a position wobbles, declining setups that are nearly good enough, waiting a fortnight for the market to reach a level you marked on a quiet Sunday. Neither difficulty is smaller than the other. But only one of them can be handled in twenty minutes a day after the kids are in bed, and that is the entire argument of this chapter.

None of this makes swing trading easy. It makes it feasible. The rest of this book is about turning feasible into systematic.

CHAPTER 1 IN ONE SENTENCE:

Swing trading — holding for days to weeks on end-of-day analysis — is the style that honestly fits people with jobs, provided they can accept wide stops, overnight risk and long stretches of professional boredom.

CHAPTER 2 — TOP-DOWN ANALYSIS: WEEKLY TO FOUR-HOUR.

Every swing trade in this book begins the same way: from the top. You read the weekly chart first, the daily second, the four-hour last, and each timeframe is allowed to answer only its own question. Done properly, top-down analysis takes ten minutes per market and prevents the single most common intermediate-trader error: taking a beautiful four-hour setup that is pointed directly into a weekly brick wall.

The principle is simple. Higher timeframes carry more weight because they summarise more information and more money. A weekly level has been defended by every participant who saw it for months or years. A four-hour level was noticed by whoever was awake. When they disagree, the weekly wins often enough that betting against it as a habit is a slow way to donate money.

THE WEEKLY: CONTEXT, NOT ENTRIES

The weekly chart answers two questions only: where are the major levels, and what is the long-term regime — trending up, trending down, or ranging? You are looking at two to five years of price action. Mark the handful of levels that matter: prior major highs and lows, zones where price reversed repeatedly, round numbers that acted as magnets. Be stingy. If you've marked more than five or six weekly levels, you've marked noise.

Then classify the regime. A weekly uptrend shows higher highs and higher lows; a downtrend the reverse; a range shows price oscillating between defined boundaries. Write the classification down in words — "EUR/USD: weekly uptrend, next major resistance well overhead" — because writing forces a decision, and vague analysis produces vague trades.

What you never do on the weekly is look for entries. It moves too slowly and its stops are too wide for the account sizes most readers run. The weekly is the map, not the vehicle.

THE DAILY: THE SWING TRADER'S HOME

The daily chart is where the actual swing lives. Its questions: what is the current trend within the weekly context, where is price in that trend's rhythm, and is there a setup forming? Here you apply the structure work from earlier courses. In an uptrend, mark the sequence of higher highs and higher lows. Identify the most recent impulse leg and ask the swing trader's central question: has the pullback begun, and where might it end?



FIGURE. A daily uptrend defined by higher highs and higher lows. The swing trader's interest is not the highs — it's the pullbacks toward each higher low, because that is where trend-following entries with sensible stops live.

The daily is also where you check alignment. The gold-standard swing setup has the weekly and daily agreeing: weekly uptrend, daily pulling back within it, room overhead before the next weekly level. When they disagree — weekly up, daily carving lower lows — you are looking at either a deep correction or the start of a reversal, and you cannot yet know which. Our house view is blunt: when timeframes disagree, stand aside. There are eight majors and dozens of crosses; conflict on one is not a problem, it's a filter.

One practical note on candle timing. The daily candle close is your unit of information. Intraday, a candle can look like anything; only the close counts. Building your process around the daily close — analysing after it, deciding on it — is what makes swing trading compatible with a job, and it's also better analysis, because closed candles don't repaint.

THE FOUR-HOUR: TIMING, AND ONLY TIMING

By the time you reach the four-hour chart, the big decisions are made. Weekly says the regime, daily says trend and setup, so the four-hour answers one narrow question: is the pullback ending? Here you watch the pullback's own character. A healthy pullback on the four-hour often looks like a small downtrend within the daily uptrend — a tidy sequence of lower highs drifting into your zone of interest. The signal that it may be ending is a change in that character: the drift stalls at the zone, a lower high fails to form, price breaks the pullback's own little structure to the upside. Chapter 4 turns this into a precise entry trigger.



FIGURE. The same market on weekly, daily and four-hour views. Each timeframe answers one question — regime, trend and setup, timing — and the trade is only taken when all three tell a compatible story.

The trap on the four-hour is scope creep. Stay long enough and it will show you counter-trend bounces, tempting little breakouts, all manner of activity that has nothing to do with your daily setup. If you catch yourself constructing a trade thesis from the four-hour alone, close the chart. The four-hour proposes the moment; it never proposes the trade.

THE TEN-MINUTE SEQUENCE

Here is the whole method as a repeatable drill, per market: one, weekly — regime and major levels, one sentence. Two, daily — trend, structure, setup forming or not, one sentence. Three, only if the daily says a setup is live: four-hour — is the pullback showing signs of completion? Four, verdict: no trade, watch, or plan an entry. Most markets, most days, the sequence ends at step two with "nothing doing", and that is the sequence working. Top-down analysis is mostly a machine for saying no quickly, so that when it finally says yes, the yes means something.

Run this drill on the same six to ten markets every day and something compounds: familiarity. You start to know where each pair's levels are before you look. That familiarity is not mystical — it's the accumulated context that makes the next chapter, building a watchlist, worth doing properly.

CHAPTER 2 IN ONE SENTENCE:

Read the weekly for regime, the daily for trend and setup, and the four-hour only for timing — letting each timeframe answer its own question and standing aside whenever they disagree.

CHAPTER 3 — SELECTING MARKETS AND BUILDING A WATCHLIST.

There are dozens of tradeable currency pairs, plus metals and indices if your broker's feeling generous. A swing trader needs perhaps six to ten of them. This chapter is about choosing that shortlist deliberately, maintaining it weekly, and resisting the two great watchlist diseases: bloat, where you follow everything and know nothing, and drift, where you abandon your list the moment some exotic pair does something exciting on social media.

The logic of a small list is the logic of the last chapter. Your edge comes from top-down familiarity — knowing a market's levels, rhythm and personality. Familiarity is expensive to build and cheap to maintain, but only at a small scale. Ten markets reviewed daily beat forty markets reviewed vaguely, every time.

WHAT MAKES A PAIR SWING-TRADEABLE

Four filters, applied in order.

Liquidity and cost first. Swing trades hold through spreads, swaps and slippage, and while a wide spread hurts a swing trader proportionally less than a scalper, an illiquid pair hurts everyone. The majors — EUR/USD, GBP/USD, USD/JPY, AUD/USD, USD/CAD, NZD/USD, USD/CHF — and the liquid crosses like EUR/GBP, EUR/JPY and GBP/JPY are the natural pool. Exotics bring wide spreads, brutal swaps and gap-prone weekends. Some experienced traders handle them; our advice at intermediate level is simply: not yet.

Trending behaviour second. Swing trading, as taught here, is trend-following on pullbacks. Some pairs spend long stretches in tight ranges; others carve cleaner trends. This changes over months, which is why the watchlist is maintained, not carved in stone. A weekly glance tells you which of your pool is trending and which is chopping sideways; a ranging market isn't broken, but for a pullback-based method it belongs in the monitor pile until it breaks out and trends.

Session compatibility third. Because you analyse at the daily close, you mostly don't care when a pair is most active — but you do care about when its risk events land. If you sleep through the Asian session, a yen pair that does its violent moving on Tokyo news will regularly gap your stops while you dream. That's not disqualifying; it's a factor to price in when you set stops and size.

Correlation last, and this one is quietly important. EUR/USD and GBP/USD often move together; so do AUD/USD and NZD/USD. Take simultaneous longs in two correlated pairs and you haven't got two trades — you've got one trade at double size wearing a disguise. Your watchlist should note which of its members are cousins, and your risk rules (chapter 5) should treat correlated positions as related exposure.

BUILDING AND MAINTAINING THE LIST

Here's a concrete illustration of the process — an example of method, not a recommendation of markets. A trader starts with the seven majors plus EUR/JPY, GBP/JPY and EUR/GBP: ten candidates. Each weekend, they run the chapter 2 weekly-and-daily read on all ten and sort them into three piles. Trade: clear trend, structure intact, room to the next major level — these get the full daily routine. Monitor: ranging, or trending but pressed against a major weekly level — these get a thirty-second daily glance. Ignore this week: conflicted timeframes, mid-range mush — these get looked at again next weekend and not before.

In a given week the piles might be three, four and three. Some weeks the trade pile is empty. That's information, not failure: it tells you the coming week is for maintenance, not positions, and knowing that on Sunday evening is worth a great deal on Wednesday afternoon when boredom comes recruiting.

The weekend sort takes under an hour and does something subtle: it front-loads your decisions. By Monday, you already know which markets could produce a trade and roughly where. The daily routine then becomes checking whether reality is arriving at your prepared levels — a fundamentally calmer activity than searching fresh charts for inspiration every evening.

Two maintenance rules keep the list honest. First, changes happen at weekends only, in writing, with a reason. "Removing GBP/JPY: three months of directionless chop, two false starts" is a decision. Quietly adding silver on Tuesday because someone on the internet was excited about it is not. Second, cap the list. Ten is plenty. Every addition must name the pair it replaces, which forces the comparison — is this new market genuinely better than my current worst? — that bloat never survives.

THE PERSONALITY FILE

One more habit that separates career swing traders from tourists: keep a short note on each watchlist market's personality. Not mystique — observed tendencies. How wide are its typical daily ranges lately? Does it respect round numbers? Does it habitually spike through levels before reversing, or turn cleanly? Which scheduled releases move it most? Three or four bullet points per pair, updated when something changes.

This file earns its keep at stop-placement time. A stop that suits a docile pair is a donation on a spiky one; GBP/JPY and EUR/GBP may both be on your list, but they need very different clearances, and your personality file is where that knowledge lives instead of being relearned expensively every few months.

A word on the temptation you will definitely face: the exciting stranger. Every few weeks, some market you don't follow will make a spectacular move, and social media will make sure you hear about it. The feeling that you're missing out is real; the opportunity usually isn't, because by the time a move is famous, the low-risk entry is behind it — and more to the point, you have no levels,

no personality file and no context on that market. Chasing it means trading blind against people who aren't. Let it go. Your list will produce its own moves, and you'll be prepared for those.

Your watchlist, in the end, is a promise you make to yourself: these markets, this process, every day — and nothing else, no matter how loudly the rest of the market carries on. Small list, deep knowledge, weekend maintenance. It is the least glamorous edge in trading, and one of the most durable.

CHAPTER 3 IN ONE SENTENCE:

Trade a capped, weekend-maintained watchlist of six to ten liquid, trend-capable, loosely correlated markets you know deeply, and let everything else get on with its day without you.



We now arrive at the entry — the part of trading everyone overweights and the part this book has deliberately delayed until chapter 4. The entry matters, but it matters as the final step of a process, not as a treasure hunt. Our pullback entry has three components, and the discipline is that you need all three: structure that says the trend is worth joining, a zone that says where the pullback becomes interesting, and a trigger that says the pullback is actually ending rather than merely pausing on its way to somewhere worse.

Structure without a zone means chasing. A zone without a trigger means catching knives. A trigger without structure means trading noise. Three of three, or no trade. Let's build each in turn, using a long setup throughout; everything mirrors for shorts.

STRUCTURE: IS THIS TREND WORTH JOINING?

From chapter 2's top-down read, you have a candidate: weekly regime supportive, daily in an uptrend of higher highs and higher lows. Before hunting an entry, interrogate that trend's quality with three questions.

Is the structure intact? The most recent higher low must be unbroken. A trend that has just printed a lower low is not "an uptrend having a wobble" — its defining feature has failed, and it must rebuild before it's a candidate again.

Is there room? Measure from your prospective entry area to the next meaningful daily or weekly resistance. If the trend has to run straight into a two-year level to pay you two units of reward per unit risked, the trade is structurally underpaid regardless of how pretty the entry looks.

Is the trend mature or fresh? Trends do end, and the fifth extended leg of a move is statistically a worse host than the second. You can't know a trend's age precisely — nobody can — but you can notice when momentum is visibly shrinking, each impulse leg shorter than the last, and dial your expectations, and your size, accordingly.

THE ZONE: WHERE A PULLBACK BECOMES INTERESTING

A pullback can end anywhere, but it is more likely to end where independent reasons stack. Your zone is an area — never a single price — where two or more of the following coincide.

Prior structure first, and foremost. The most natural pullback destination in an uptrend is the area of the previous breakout: old resistance being retested as support, or the region of the last higher low. If you take only one confluence factor seriously, take this one.

Fibonacci retracements second, held loosely. Measure the most recent impulse leg; the 38.2 to 61.8 per cent retracement band, with the 50 to 61.8 region as the classic "golden zone", describes where healthy pullbacks in trending markets frequently end. We do not think there is magic in these ratios. We think they formalise a real observation — strong trends tend to give back a third to two-thirds of a leg before resuming — and give you a way to pre-mark it. Where a fib level lands on top of prior structure, you have a zone worth watching. Where it lands on nothing, it's just a line.



FIGURE. A retracement grid drawn over an impulse leg in an uptrend, with the 50–61.8 per cent 'golden zone' highlighted. The ratios aren't magic — the zone matters where it overlaps prior structure, and is just decoration where it doesn't.

Moving averages third, as a rough dynamic reference. Many trending daily charts repeatedly pull back to the region of a widely watched average such as the 20 or 50 EMA. Treat it as one more voice in the confluence choir, not a tripwire.



FIGURE. A support zone drawn as a band rather than a line, respected on multiple approaches. Zones acknowledge that big-money buying happens across an area — a trader demanding a to-the-pip touch will miss the trade a to-the-pip market never offered.

Draw the zone as a shaded band on the daily chart, set an alert at its upper edge, and close the platform. This is the great mechanical advantage of zone-based swing trading: the market now has to come to you, and until it does, there is genuinely nothing to do.

THE TRIGGER: EVIDENCE THE PULLBACK IS ENDING

Price entering your zone is an invitation, not an entry. Pullbacks overshoot; sometimes what looks like a pullback is the first leg of a reversal. The trigger is the piece of confirming evidence that says buyers are actually re-engaging. Two triggers cover most needs.

The daily candle trigger: within the zone, wait for a decisive rejection candle to close — a bullish engulfing bar or a strong pin with its long tail probing the zone and its close back above it. The close is non-negotiable. Mid-session, half the world's traders haven't voted yet.

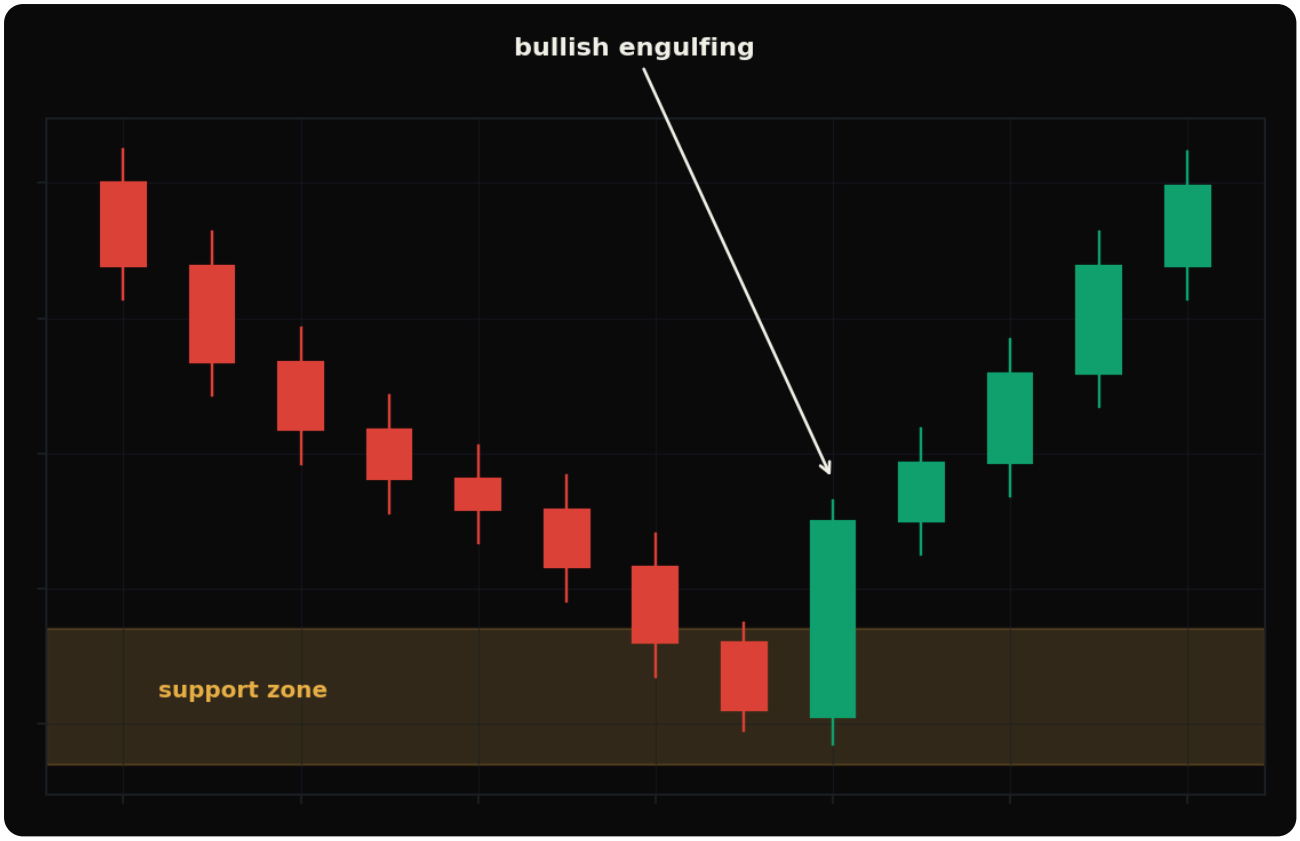


FIGURE. A bullish engulfing candle closing inside a support zone after a pullback. The pattern means little in open space; at a pre-marked zone within an uptrend, it's evidence that buyers have re-engaged — the trigger, not the reason, for the trade.

The four-hour structure-break trigger, for those wanting earlier entries: the pullback forms its own little downtrend of lower highs on the four-hour; the trigger is a four-hour close breaking above the most recent lower high while price sits in the daily zone. You'll enter closer to the low with a tighter stop, at the cost of more false starts. Neither trigger is "correct". Pick one, define it in writing, and test it on your markets before believing in it.

ASSEMBLING THE TRADE

Stop-loss beyond the zone's far edge plus a personality-file buffer (chapter 3) — never inside the zone, where ordinary noise will clip it. Size from your fixed account risk percentage divided by stop distance; with 100-pip stops this will feel small, and it should. Initial target at the prior high or next meaningful resistance, demanding roughly 2R or better, or the trade goes back in the drawer.

Then — and only then — the order goes in. One illustration of the arithmetic, purely as technique: a trader risking 1 per cent of a £10,000 account with a 90-pip stop and a 200-pip target risks £100 to make roughly £220. Whether that particular trade wins is unknowable and, across a career, almost irrelevant; what matters is that every trade is built the same way.

CHAPTER 4 IN ONE SENTENCE:

Enter pullbacks only when three things align — intact trend structure worth joining, a pre-marked confluence zone the market comes back to, and a closed-candle trigger proving the pullback is ending — with stop, size and target fixed before the order exists.

CHAPTER 5 — POSITION MANAGEMENT ACROSS MULTIPLE DAYS.

Entering a swing trade takes ten minutes. Managing it takes two weeks, and this is where most swing trades are actually won or lost — not because management adds magic, but because bad management subtracts everything. The market will spend days doing nothing, then move against you just enough to frighten you, then stall just below your target. Every one of those moments is an invitation to interfere. This chapter is about declining the invitations, on schedule, according to rules written before the trade existed.

The foundational principle: management decisions are made once per day, at the daily close, during your end-of-day routine. Not when a push notification startles you at lunch. Not at 11pm because you couldn't sleep. Once, on closed candles, per the plan. A swing trade managed intraday is a day trade with extra steps and worse timing.

THE PLAN YOU WROTE BEFORE ENTRY

Every position carries a written plan from chapter 4: entry, stop, initial target, and — the piece we now add — the management path. The management path answers, in advance, the questions the trade will ask later. When does the stop move? What would make me exit early? Do I take partial profits, and where? What invalidates the idea besides the stop?

Writing this in advance matters because the person who wrote it is smarter than the person who'll be reading it. Pre-trade you is analytical and unexposed. Mid-trade you is watching money move and is, with respect, not to be trusted with fresh decisions. The plan is a letter from your calm self to your frightened self, and the whole job of management is to follow the letter.

MOVING THE STOP: FROM RISK TO STRUCTURE

The single most damaging habit in swing trade management is moving the stop to breakeven too early. It feels prudent — "now it's a free trade" — and it is usually just a way of getting stopped out of good trades by ordinary noise. A market that has moved 40 pips in your favour has not left the neighbourhood of your entry zone; normal daily oscillation will revisit your entry price frequently and think nothing of it.

Our framework: the stop moves only when structure is built, not when profit accrues. In a long, that means waiting until the market completes a new higher low and breaks to a new high — confirming the swing you entered on has extended — then trailing the stop to below that new higher low, with buffer. Until new structure exists, the original stop stands. It was placed where the

idea would be wrong; the idea does not become "less wrong" merely because you're temporarily in profit.

This structure-based trail continues for the trade's life: each confirmed higher low becomes the new line in the sand. It will always feel too loose. It gives back open profit on every pullback. It also keeps you in trends for weeks, which is the entire economic point of swing trading. Trail tightly and you'll convert a style built to catch 300-pip legs into one that reliably banks 60 and watches the rest leave without you.

PARTIALS, TARGETS AND R-MULTIPLES

Should you scale out? Honest answer: it's a temperament decision dressed as a maths decision. Taking half off at 1.5R or 2R and running the rest lowers both your variance and, in strong trends, your total expectancy — you're systematically shrinking your position in precisely the trades that go furthest. Full-position-to-target is cleaner arithmetic and harder psychology. We lean, mildly, toward one partial for traders whose journals show they can't otherwise hold; and toward no partials for traders who can. Let your own records (chapter 8) settle it. What is not acceptable is deciding trade-by-trade based on mood — that's not a strategy, it's a coin with your anxiety on both sides.



FIGURE. A trade drawn as one unit of risk against 2.5 units of reward. Wide-stop swing trades live or die on this geometry: with payoffs like this, a method can be wrong more often than it's right and still make sense — which is why defending the full target matters.

Think in R throughout. A trade risking 90 pips to make 225 is a 2.5R trade; whether that's £50 or £500 depends on size and is irrelevant to quality. R-thinking also arms you against the mid-trade

temptation to "just take the 1.2R that's on the table" — a habit which, repeated across a year, quietly caps your winners below the level your losers require.

EARLY EXITS, ADDS, AND CORRELATED EXPOSURE

Three remaining questions the plan must answer.

Early exit: the stop is not the only exit, but the alternatives must be structural, not emotional. A daily close that breaks the trend's most recent higher low, a fundamental regime change of the kind that redraws the weekly chart — these are legitimate reasons to exit before the stop. "It's not moving fast enough" and "I have a feeling" are not. If the structure that justified entry is intact, the trade is intact.

Adding: pyramiding into a winner — a fresh chapter 4 setup forming within an existing trend, entered at reduced size with the whole position's stop trailed as one — is a real technique and, at intermediate level, an optional one. If it tempts you, test it on paper first; adds turn modest pullbacks into outsized give-backs when mishandled.

Portfolio risk: with multi-day holds, positions overlap, and correlated positions are one bet at double size (chapter 3). Set a total-open-risk cap — a common convention is no more than 3 to 4 per cent of the account across all open trades, counting correlated pairs as one exposure — and let the cap, not enthusiasm, decide whether the next setup gets taken.

Then comes the hardest instruction in the book: having done the daily check, do nothing else. No peeking between closes, no "just seeing how it's doing". The position doesn't need you, and every extra look is a fresh chance to interfere. Management is a once-daily appointment, not a relationship.

CHAPTER 5 IN ONE SENTENCE:

Manage swing trades once a day at the close, from a plan written before entry — trailing stops on structure rather than profit, thinking in R, capping correlated open risk, and otherwise leaving the position alone.

CHAPTER 6 — HOLDING THROUGH NOISE: STOPS, SWAPS AND WEEKEND RISK.

This is the chapter the lifestyle brochures leave out. Holding positions for days to weeks means holding them through things: through intraday spikes that exist purely to ruin tidy stop placement, through nightly financing charges that tax slow trades, and through weekends, when the market closes but the world does not. None of these is a reason not to swing trade. All of them are costs and risks that must be priced in deliberately, because they will be paid either way — the only question is whether knowingly.

STOPS THAT SURVIVE THE NOISE

A swing stop has one job: to be hit only when the idea is wrong. On a multi-day hold, that means surviving several days of ordinary volatility — London opens, New York data, thin Asian hours — none of which says anything about your daily-chart thesis.

Practical consequences. First, place stops beyond structure plus a volatility buffer, never at the obvious level itself. The tick just beyond a well-watched swing low is the most crowded real estate in the market, and price has a well-documented habit of probing it before reversing. Give the level room — your chapter 3 personality file tells you how much room each pair demands.



FIGURE. Price spiking through an obvious swing low — where a crowd of stops sits — before reversing back into the range. The lesson isn't paranoia; it's placement: a swing stop belongs beyond the obvious level plus a buffer, sized so routine probes don't end a valid idea.

Second, size to the stop, never the stop to the size. If the structurally correct stop is 120 pips and that makes the position uncomfortably small, the answer is the small position. Tightening the stop to afford more size doesn't reduce your risk; it relocates it from "the idea fails" to "the market breathes", and the market breathes daily.
Third, use hard stops, in the market, always. Mental stops on multi-day holds are a fiction — you will be asleep, in a meeting, or on a train for most of your trade's life. The stop must work without you, because mostly, you won't be there.

SWAPS: THE NIGHTLY TAX ON SLOW TRADES

Hold a spot forex position past the daily rollover (5pm New York) and you'll be charged or credited swap — financing that derives from the interest-rate gap between the two currencies, plus the broker's markup. Hold long the higher-yielding currency and you may earn a little; hold it short and you'll pay. Wednesday's rollover is typically charged at triple rate to cover the weekend's settlement.

For a day trader this is trivia. For you, holding ten to twenty nights, it's a line item. On major pairs with similar rates, total swap over a two-week hold is usually modest relative to a 200-pip target — a real cost, rarely a decisive one. But on wide-rate-gap pairs and most exotics, being on the paying side can genuinely erode a trade's economics, which is one more reason chapter 3 kept exotics off the intermediate watchlist.

The professional habits are simple. Know your broker's actual swap rates — published per pair, per direction, and not always symmetrical or sensible. Before entering any trade you expect to hold beyond a few nights, estimate the total swap and set it against the target: a 2.5R trade that's really 2.3R after financing is still fine; a marginal trade that financing pushes below your threshold was the market doing you a favour. And never let swap flip a decision on its own — do not hold a broken trade to harvest credits, and do not abandon a working one to dodge charges. Swap is a tax on the strategy, priced in at entry, not a signal.

WEEKENDS: THE GAP YOU CANNOT STOP

From Friday's New York close to Sunday's Sydney open, forex stops trading — and news does not. Elections, referendums, central-bank surprises, geopolitics: anything landing in those roughly 48 hours is priced into the Sunday open all at once, as a gap. Here is the sentence that must be understood before your first held weekend: a standard stop-loss does not protect you through a gap. Stops execute at the next available price. If the market opens 80 pips beyond your stop, that is where you exit, and the difference comes out of your account. Guaranteed stops exist at some brokers, for a premium, with conditions; for everyone else, weekend risk cannot be capped by orders. It can only be managed by choices.

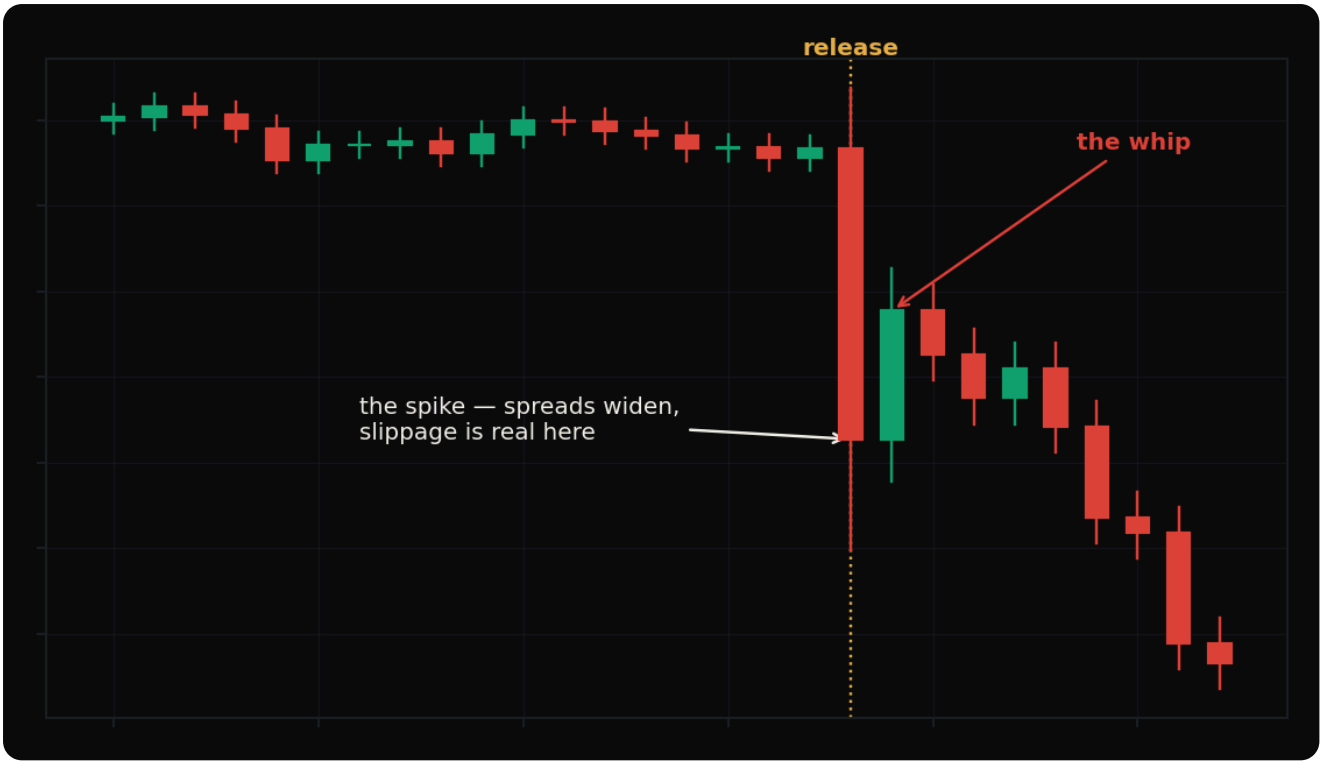


FIGURE. Price gapping violently through a level on a scheduled shock, blowing straight past where resting stops waited. Over a weekend the mechanism is the same with the market shut: stops fill at the next traded price, not the chosen one — which is why weekend exposure is managed by position size, not order type.

Your realistic options, each Friday, for each open position. Hold, accepting the gap risk — the default for a healthy trade within normal risk limits, and be clear-eyed that gaps can also land in your favour; symmetric risk is still risk, but it isn't theft. Reduce, trimming size ahead of a specifically dangerous weekend — a scheduled election in a currency you hold, a summit that could reprice a region. Or flatten, closing everything on Friday and re-entering later; some swing traders do this systematically, and it's a coherent style, though it pays for its safety by repeatedly surrendering position in trends and re-paying spreads.
Our framework, offered for your testing rather than your obedience: hold by default, provided total open risk is within the chapter 5 cap and no named, scheduled event directly threatens the position; reduce or flatten when one does. What you may not do is discover on Sunday that you'd never considered the question. Friday's routine (next chapter) includes a weekend-risk check precisely so the decision is always made on purpose.

And psychologically? Holding through noise is a skill with a training curve. The first held weekend feels enormous. The fortieth is admin. Getting from the first to the fortieth without either flinching out of good trades or drifting into carelessness is precisely what correct sizing buys you: positions small enough that a bad gap is a bad day, never a funeral.

CHAPTER 6 IN ONE SENTENCE:

Price the realities of holding — noise-proof stops sized to structure, nightly swap costed at entry, and weekend gaps that no ordinary stop can cap — so that every overnight and weekend exposure is a deliberate, correctly-sized choice.

CHAPTER 7 — THE END-OF-DAY ROUTINE.

Every serious swing trader we've known runs on a routine, and most of them run the same one with cosmetic differences: a fixed block of time, after the daily close, working through a fixed sequence, ending in written decisions. This chapter builds that routine step by step. It is the least exciting chapter in the book and arguably the most valuable, because the routine is the strategy. Everything from chapters 2 to 6 only exists in your trading to the extent that a repeatable daily process executes it.

The case for routine is really a case against its alternative. Without a fixed process, your trading happens whenever your phone buzzes and your mood allows — which means your worst, most reactive self does most of the deciding. With one, the decisions migrate to a scheduled, calm, closed-candle sitting. Same trader, same method, materially different outcomes.

TIMING AND SETUP

The anchor is the daily candle close — 5pm New York, which is 10pm London most of the year. The purist's routine runs shortly after it. The pragmatist's runs at a fixed earlier hour — say 8 or 9pm — accepting that the daily candle is nearly, not fully, formed, and deferring any close-dependent trigger decisions to orders rather than market entries. Some traders run it the next morning before work instead, on fully closed candles, at the cost of acting several hours after the close. All three patterns work. Pick the one your actual life can sustain seven days out of seven, because a routine you skip on tired days isn't a routine, it's a hobby.

Set the environment deliberately: same desk or table, charts and journal open, phone face down, fifteen to forty minutes protected. This sounds precious. It isn't. You are trying to make a small number of high-quality decisions per week, and quality decisions have a known enemy: doing them on the sofa, half-watching something, at midnight.

THE SEQUENCE

Six steps, same order, every day.

One — open positions first. Before any new ideas, review each open trade against its written plan. Has new daily structure formed that moves a stop (chapter 5)? Has an invalidation condition triggered? Is Friday approaching with a named weekend risk (chapter 6)? Make only the adjustments the plan authorises. This ordering is deliberate: manage what you own before

shopping for more, because the reverse order lets new-trade excitement contaminate open-trade judgement.

Two — the watchlist pass. Run the chapter 2 top-down drill across the trade and monitor piles from your weekend sort. One sentence per market. Most entries will read "no change", and writing "no change" is not wasted motion — it's the repetition that builds the familiarity your edge lives on.

Three — setup development. For any market where a setup is forming, update the specifics: is price approaching the zone? Has a trigger candle printed? Set or refresh alerts at the levels that matter.

Four — orders and plans. Where a full chapter 4 setup has completed — structure, zone, trigger — write the trade plan and place the order with stop and target attached. Where it hasn't, explicitly write what would complete it, so tomorrow's decision is pre-made.

Five — the news check. Scan the economic calendar for the next 24 to 48 hours: rate decisions, inflation prints, employment data touching your open or pending currencies. You are not forecasting; you are avoiding being surprised, and occasionally deferring a marginal entry that sits hours before a major release.

Six — the journal line. Record what you did and why, per chapter 8, and close the laptop. Closed means closed. The routine's finish line is as much a part of it as its start.

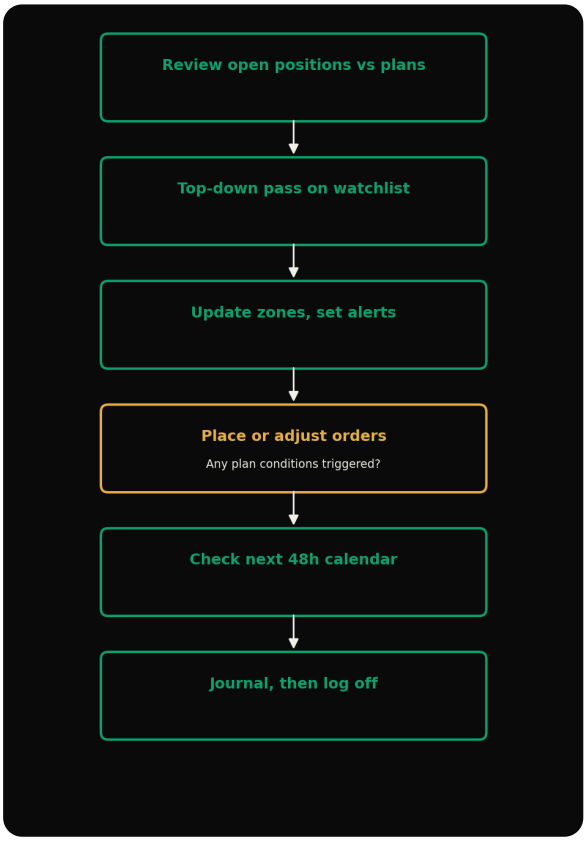


FIGURE. The end-of-day routine as a fixed sequence: existing positions before new ideas, analysis before orders, journal before logging off. The order is the discipline — it stops new-trade excitement from steering open-trade decisions.

WEEKLY VARIANTS AND THE DISCIPLINE OF STOPPING

Two days get extended versions. Friday adds the weekend-risk check from chapter 6: for each open position, an explicit hold, reduce or flatten decision, written down. The weekend session — Saturday or Sunday, under an hour — is chapter 3's watchlist sort plus a week-level review: re-run the weekly charts, re-sort the piles, note the week ahead's major events, and read your own journal for open loops. Done well, the weekend session means every weekday routine starts with the strategic thinking already finished.

The subtlest skill in all this is stopping. The routine has a fixed end, and the hours between sessions are off-limits — no chart checks at lunch, no price apps in bed. This isn't ascetic posturing; it's chapter 5's no-interference rule made physical. Every unscheduled look at an open position is a fresh opportunity to do something your plan didn't ask for, and you can't act on what you don't see. Swing trading's great structural gift is that it only needs you once a day. Take the gift.

Expect the routine to feel faintly pointless on quiet weeks — twenty minutes of writing "no change" while nothing happens. That feeling is worth distrusting. The routine's value is delivered on perhaps eight days a quarter, when a setup completes or a position needs precise handling, and it is only available on those days because it ran on all the boring ones. Nobody rises to the occasion; you sink to the level of your habits. Build habits worth sinking to.

CHAPTER 7 IN ONE SENTENCE:

Run a fixed, scheduled end-of-day sequence — open positions, watchlist, setups, orders, calendar, journal, log off — because the routine is what turns a strategy on paper into a strategy that actually happens.

CHAPTER 8 — JOURNALLING SWING TRADES FOR LONG-TERM IMPROVEMENT.

A swing trader might take forty trades in a year. That is a brutally small sample from which to learn anything — unless every single trade is recorded properly, in which case it's just enough. This chapter builds the journal that makes forty trades a year a genuine education: what to record, when to record it, and how to review it so that patterns in your trading surface before they get expensive.

First, the case, stated plainly. Memory is not a record; it's a press office. It files your losses under "bad luck" and your wins under "skill", forgets the trades you talked yourself out of, and rewrites your entry reasons after the fact. A journal exists to outvote it. Slow styles make this more necessary, not less: a day trader's errors announce themselves weekly through sheer repetition, while a swing trader's can hide inside small samples for a year. And swing journals have one advantage worth exploiting — with at most a few entries a week, you have no volume excuse. Quality is entirely affordable.

WHAT TO RECORD, AND WHEN

The journal has three moments, matching the trade's life.

At entry, record the mechanical facts — date, pair, direction, entry, stop, target, size, open risk in R and pounds — and then the parts platforms can't export: the top-down context in two or three sentences, the specific zone and trigger, a screenshot of the daily and four-hour charts with your markings, a setup grade (A for full-criteria textbook, B for acceptable-with-a-wrinkle — C-grades shouldn't exist, because C-setups shouldn't be trades), and one honest line on your state: calm, tired, itching after a losing streak. That last line will look trivial for months, then produce the most useful finding in your file.

During the trade, log every action and every non-action at the daily close: moved stop under the new higher low; did nothing, per plan; Friday check, held through weekend. Two lines a day at most. The mid-trade log is where management leaks show up — the too-early breakeven moves, the peeking, the unplanned partials — and management leaks are invisible in outcome data alone.

At exit, record exit price and reason (target, stop, structural invalidation, weekend flatten), result in R, total nights held and swap paid, a second pair of screenshots, and the two questions that drive everything else: did I follow the plan, yes or no — a binary, no "mostly" — and what would I repeat or change? One sentence each.

The crucial discipline: grade the process at entry, judge the process at exit, and treat the outcome as a separate fact. A-grade setups lose; broken-process trades win. Over forty trades a year,

confusing those categories will teach you precisely the wrong lessons with total conviction.

REVIEWING: WHERE THE IMPROVEMENT ACTUALLY HAPPENS

An unread journal is a diary. The compounding comes from scheduled reviews at three horizons.

Weekly, in the weekend session: read the week's entries, note open loops, catch drift early — three B-grades in a row is a conversation with yourself worth having now, not in April.

Monthly, in half an hour: tally trades, win rate, average winner and loser in R, net R; compare A-setups against B-setups; count plan-followed versus plan-broken and — this is the number that stings usefully — compare the actual result against what full plan-following would have produced. Many traders discover their rules outperform their interventions. It is much better to discover this in a spreadsheet than to suspect it in the dark.

Quarterly, the deep read: with thirty-plus trades accumulated, patterns start clearing statistical fog. Which pairs are paying? Which trigger — daily candle or four-hour break — is earning its keep on your markets? What does the distribution of your R results look like: are you cutting winners early (a right tail that stops abruptly at 1.5R when your targets say 2.5R is a confession), or letting losers breathe past 1R?



FIGURE. A distribution of trade results measured in R. The shape tells the story a win rate can't: losses clustered tightly at minus one R with a long right tail is a healthy swing profile — losses capped, winners left to run.

Keep the sample-size humility switched on throughout. Ten trades prove nothing; forty suggest; a hundred begin to persuade. The journal's first year mostly generates hypotheses — "my B-grades

appear to be donations" — which the second year tests. That timescale offends every instinct the modern world has installed in you. It is also just how evidence works at three trades a month.

MAKING IT STICK

Format matters less than existence: a spreadsheet plus a screenshots folder beats an elaborate app you abandon by March. Attach the entry log to the order-placing moment and the exit log to the exit — chapter 7's routine already reserves the time, so journalling is never an extra session, only an extra five minutes inside one. And record the near-misses too: one line for setups that completed but went untaken, and why. A trader who keeps finding valid setups and reasons not to take them has a fear problem no market analysis will fix — but only the journal will ever tell them so.

Forty trades a year for five years is two hundred trades: a genuine, personal dataset of you, on your markets, in your circumstances. No course — including this one — can hand you that. The journal is how you write the book that's actually about you.

CHAPTER 8 IN ONE SENTENCE:

Record every swing trade at entry, during, and at exit — grading process separately from outcome — then review weekly, monthly and quarterly, because at three trades a month the journal is the only teacher with enough evidence to correct you.

CHAPTER 9 — A COMPLETE SWING TRADE WALKTHROUGH.

Time to assemble the machine and watch it run. This chapter follows one illustrative long trade in EUR/USD from weekend preparation through seventeen days of management to exit and journal review. Let us be unambiguous about what this is: a constructed teaching example with invented but realistic prices, built to show the method's moving parts working together. It is not a real trade record, not a performance claim, and certainly not a suggestion that you trade EUR/USD or anything else. The point is the sequence of decisions — every one of which comes from a chapter you've already read.

THE SETUP: FROM WEEKEND SORT TO RESTING ORDER

Sunday evening, weekend session. Our trader — call her the trader, because she is anyone running this process — reruns her ten-market watchlist. EUR/USD goes in the trade pile: the weekly shows an uptrend that broke a major resistance band around 1.0950 six weeks ago, with the next weekly level far overhead at 1.1500. The daily shows two clean impulse legs since the breakout, higher highs and higher lows intact, and the current pullback under way from 1.1240. One sentence in the log: "EUR/USD: weekly up, daily HH/HL intact, pullback from 1.1240 in progress — building the zone."

Monday's routine, ten minutes. The zone: the prior daily higher low and old breakout region sits at 1.1050–1.1080; the fib grid over the 1.0890→1.1240 impulse puts the 50 per cent at 1.1065 and the 61.8 at 1.1024; the 20 EMA is drifting through the same neighbourhood. She shades 1.1020–1.1080 on the daily — structure, fib and dynamic support stacked — sets an alert at 1.1090, and logs off. Tuesday and Wednesday's routines each take five minutes and say "no change". This is the boredom, working.

TRIGGER, ORDER, PLAN

Thursday, price closes at 1.1058, inside the zone — an invitation, not an entry. Friday prints the trigger: a daily bullish engulfing candle that probes 1.1019, then closes at 1.1102, engulfing Thursday's range from inside the zone. Chapter 4's three of three: structure worth joining, zone reached, trigger closed.

Friday's routine builds the trade. Stop: below the zone's far edge and the trigger's low, buffered per the EUR/USD personality file — 1.0965, roughly 137 pips below her chosen entry. Entry: rather than chasing the engulfing close, she sets a limit at 1.1085, a partial retrace of the trigger bar, accepting she may miss it. Target: the prior high region at 1.1230–1.1240; she takes 1.1225 — 140 pips of risk against 140 of reward is only 1.0R to the old high, so the trade only clears her 2R threshold using the measured continuation objective at 1.1425. Her plan resolves it explicitly: half

off at 1.1225, remainder targeting 1.1425, stop trailed on daily structure. Size: 1 per cent of her £10,000 account — £100 — across 140 pips. Open risk elsewhere: zero, so the cap is untouched. Weekend check: no scheduled Eurozone or US event named; the order is a limit, not a position; it can rest. Plan written, journal entry made, screenshots filed. Setup grade: A. Notice that every element of this entry was decided on a different timeframe — weekly regime, daily zone, daily trigger, four-hour turn — and none of them could have justified the trade alone.

SEVENTEEN DAYS OF DOING ALMOST NOTHING

Monday, the limit fills at 1.1085. What follows is the honest texture of a swing trade, day by compressed day.

Days 1–3: price chops between 1.1060 and 1.1130. Open P/L swings from −25 to +45 pips and back. Each routine: "no new structure, no action." The itch to move the stop to breakeven arrives on day 3 and is declined, per chapter 5 — no new higher low exists yet.

Day 4: a US data release spikes price to 1.1041 intraday — 44 pips onside of the stop — before closing back at 1.1096. The buffered stop, placed beyond the obvious level, survives what a tidy stop at 1.1015 might also have survived but a "cheap" stop at 1.1050 would not. This is chapter 6 earning its chapter.

Days 5–8: the market builds. A four-hour higher low forms, then the daily closes above 1.1140. Day 8 closes at 1.1188. Still no completed daily higher low above the entry zone; the stop stays at 1.0965. Uncomfortable, and correct.

Day 9: price prints 1.1231, tagging the first target; half the position closes at 1.1225 for +140 pips, banking 0.5R of realised profit while halving remaining exposure. The daily has now confirmed a higher low at 1.1120; the stop on the remainder trails to 1.1075, below that structure with buffer. Worst case from here is now approximately breakeven on the whole trade — reached through structure, not nerves.

Days 10–13: the pullback. Price sags to 1.1140. Open profit on the runner shrinks by 90 pips. Nothing in the plan triggers; nothing is done. Her journal's day-12 line reads, in full: "Hate this. Plan says hold. Holding." That line is worth more than most indicators.

Days 14–16: resumption — 1.1210, 1.1280, then a strong close at 1.1345. A new daily higher low at 1.1140 is confirmed; stop trails to 1.1095.

Day 17: the ECB press conference she'd flagged in Wednesday's calendar check produces a violent whipsaw: 1.1390 high, 1.1160 low, close 1.1187. The trailed stop at 1.1095 survives; her nerves barely do. Day 18, Friday: price closes weakly at 1.1150, and with a summit weekend named in Sunday's notes and structure now marginal, her Friday check elects to close the runner at market, 1.1148: +63 pips on the half-position.

THE RECKONING

Net result: roughly +0.72R — about £72 — for seventeen days and perhaps four total hours of work, minus £6 of swap on the long nights. Not the 2R the plan aimed for. The exit journal is where the value is: plan followed, yes, including the Friday discretion clause; the runner's exit was defensible but the 1.1425 objective was never realistically threatened — question for the quarterly review: are continuation targets beyond the prior high overreaching on this pair? Grade A setup, C+ outcome, no contradiction. File, screenshots, close the laptop.

That is swing trading: two weeks of patience, four decisions, one modest banked result, and a process that came out the other side intact and slightly better informed. Run that loop for years, journal in hand, and you are doing the job.

CHAPTER 9 IN ONE SENTENCE:

A full swing trade is the whole book in miniature — weekend context, a marked zone, a closed-candle trigger, a written plan, seventeen days of disciplined near-inaction, and a journal entry that turns even a modest outcome into evidence.

The one-page version.

1. Swing trading — holding for days to weeks off end-of-day analysis — is the style that fits people with jobs; its price is wide stops, overnight risk and long stretches of professional boredom, and boredom is the cheaper tax.
2. Analyse top-down, always: weekly for regime and major levels, daily for trend and setup, four-hour for timing only. When timeframes disagree, stand aside — conflict is a filter, not a puzzle.
3. Trade a capped watchlist of six to ten liquid, trend-capable markets, sorted every weekend into trade, monitor and ignore piles, with changes made in writing at weekends only.
4. An entry needs three of three: intact trend structure with room to the next major level, a pre-marked confluence zone (structure first, fibs and moving averages as supporting voices), and a closed-candle trigger. Two of three is no trade.
5. Place the stop beyond the zone plus a volatility buffer, size the position from fixed percentage risk divided by stop distance, and demand roughly 2R or better before the order exists. Size to the stop, never the stop to the size.
6. Manage once per day at the close, from a plan written before entry. Trail stops on completed structure, not accrued profit — no breakeven moves the chart hasn't earned — and cap total open risk, counting correlated pairs as one bet.
7. Price the holding costs deliberately: estimate swap against the target at entry, use hard stops always, and make an explicit hold, reduce or flatten decision for every position every Friday, because no ordinary stop caps a weekend gap.
8. Run the end-of-day routine in fixed order — open positions, watchlist pass, setups, orders, calendar, journal, log off — and treat the hours between sessions as off-limits. You can't interfere with what you don't look at.
9. Journal every trade at entry, during and at exit, grading process separately from outcome, and review weekly, monthly and quarterly. At three trades a month, the journal is the only teacher with enough evidence to correct you.
10. Expect most days to require nothing, and treat doing nothing as the job done properly. The routine's value is earned on the eight days a quarter that matter, and it's only available then because it ran on all the boring ones.

TEST YOURSELF — 15 QUESTIONS.

1. In this book's framework, what question is the four-hour chart allowed to answer?

A. What is the long-term regime? B. Where are the major levels? C. Is the pullback ending — timing only? D. Which pairs belong on the watchlist?

2. The weekly chart's role in top-down analysis is best described as:

A. The entry timeframe for large accounts B. The map — regime and major levels, never entries C. A tie-breaker when daily signals conflict D. Optional for pairs that trend cleanly

3. Weekly uptrend, but the daily chart has just printed a lower low. The recommended response is:

A. Buy the discount aggressively B. Short the daily trend C. Stand aside until the timeframes realign D. Switch to the one-hour chart for clarity

4. Why does the book treat two simultaneous longs in EUR/USD and GBP/USD with suspicion?

A. Both pairs have unusually wide spreads B. Correlated positions are effectively one bet at double size C. UK and EU data always conflict D. Brokers prohibit holding both

5. The three required components of the pullback entry are:

A. Indicator, pattern, volume B. Structure, zone, trigger C. News, sentiment, momentum D. Zone, trigger, and a tight stop

6. The book's view on Fibonacci retracement levels is that they:

A. Are mathematically predictive on their own B. Formalise where healthy pullbacks often end, and matter chiefly where they overlap structure C. Should replace support and resistance analysis D. Only work on the weekly timeframe

7. Why must the trigger candle be a closed candle?

A. Brokers only accept orders after the close B. Closed candles produce tighter stops C. Mid-session, the candle can still become anything — the close is the completed vote D. Spreads are lowest at the close

8. Under structure-based management, when does the stop first move in a long trade?

A. As soon as the trade shows any profit B. At a fixed 50 per cent of the way to target C. After a new higher low completes and price breaks to a new high D. Every day, by a fixed number of pips

9. Why does the book warn against moving stops to breakeven early?

A. It increases swap charges B. Normal daily noise revisits the entry area and clips valid trades C. Brokers penalise frequent stop changes D. It signals your position to other traders

10. A trade risks 90 pips to target 225 pips. In R-multiple terms this is:

A. 0.4R B. 1.5R C. 2.5R D. 4.0R

11. Which statement about swap (rollover) is accurate?

A. It only applies to trades held over weekends B. It derives from the interest-rate gap between the two currencies, plus broker markup, and should be estimated at entry for multi-night holds C. It is always a credit for long positions D. It is capped by using hard stops

12. Price gaps over a weekend to 80 pips beyond your standard stop-loss. What happens?

A. The stop fills at its set price regardless B. The broker cancels the trade C. The stop fills at the next available price — roughly 80 pips worse D. The position stays open until price returns to the stop

13. In the end-of-day routine, why are open positions reviewed before new setups?

A. Open positions take longer to analyse B. So new-trade excitement can't contaminate open-trade decisions C. Platforms display them first D. New setups only appear after the close

14. The journal instruction to grade setups at entry and judge process separately from outcome exists because:

A. Outcomes are irrelevant to profitability B. A-grade setups can lose and broken-process trades can win, and confusing the two teaches the wrong lessons C. Brokers require process documentation D. It reduces the number of screenshots needed

15. An R-distribution showing losses clustered at −1R with a long right tail of winners indicates:

A. A broken strategy that needs tighter stops B. Losses capped and winners allowed to run — a healthy swing profile C. Excessive risk per trade D. Too few trades to display

ANSWER KEY

1. **C** — The four-hour answers timing only; regime and setup are decided on the weekly and daily before it's opened.
2. **B** — The weekly is the map, not the vehicle: regime and major levels, with entries always taken lower down.
3. **C** — Conflicting timeframes could be deep correction or reversal; you can't yet know which, so the watchlist filter says wait.
4. **B** — Correlated pairs often move together, so two positions is really one exposure at double size and must be risk-capped as such.

5. **B** — Structure says the trend is worth joining, the zone says where, the trigger says when; three of three or no trade.
6. **B** — The ratios formalise the observation that trends give back a third to two-thirds of a leg; confluence with structure is what makes a fib level meaningful.
7. **C** — Until the close, half the market hasn't voted; a mid-session pattern can fully reverse by the close.
8. **C** — The stop trails only when new structure exists — a completed higher low confirmed by a new high — never on profit alone.
9. **B** — A market 40 pips onside hasn't left the entry neighbourhood; ordinary oscillation routinely revisits entries and harvests premature breakeven stops.
10. **C** — 225 divided by 90 is 2.5 units of reward per unit risked.
11. **B** — Swap is nightly financing from the rate differential plus markup (triple on Wednesdays), a real line item over ten to twenty nights that belongs in the entry arithmetic.
12. **C** — Stops execute at the next available price after a gap; only guaranteed stops, where offered and paid for, cap gap risk.
13. **B** — Ordering is deliberate: manage what you own first, so the excitement of new ideas can't steer decisions on existing risk.
14. **B** — Process and outcome diverge constantly at small sample sizes; grading them separately is what lets forty trades a year teach true lessons.
15. **B** — Capped losses with a running right tail is exactly the geometry wide-target swing trading aims for; a right tail chopped at 1.5R would signal winners being cut early.

APPENDIX — THE GLOSSARY, IN PLAIN ENGLISH.

Every term used across Trading Foundry University, explained the way a mate would across a table. 40 terms, no jargon left standing.

ASK
The price you buy at. Always a touch higher than the bid — the gap is the spread.

BASE CURRENCY
The first currency in a pair. The price says how much of the second one unit of this buys.

BEARISH
Expecting a price to fall. The bear swipes down.

BID
The price you sell at.

BREAKOUT
Price escaping a level it's been stuck under (or over). Real ones keep going; fake ones snap back and take beginners' money with them.

BULLISH
Expecting a price to rise. The bull tosses up.

CANDLESTICK
One bar of price history: open, high, low, close, drawn so you can read the fight at a glance.

CENTRAL BANK
A country's money authority (Bank of England, the Fed). The single biggest force in forex.

CROSS
A pair without the US dollar in it, like EUR/GBP.

DRAWDOWN
How far your account has fallen from its peak. The number that decides whether you survive long enough to be right.

ECONOMIC CALENDAR
The diary of scheduled news releases — rate decisions, jobs numbers, inflation prints — that move markets.

ENTRY
The price where your trade opens.

EXOTIC
A major currency paired with a smaller economy's. Wide spreads, sudden moves — not a beginner's playground.

FILL
The actual price your order executed at, which is not always the price you asked for.

FUNDAMENTALS
The economic story behind a currency: growth, inflation, interest rates, politics.

GOING LONG
Buying — profiting if the price rises.

GOING SHORT
Selling first — profiting if the price falls. Completely normal in forex.

LEVERAGE
Trading with more exposure than your deposit. Multiplies both directions — the loaded word in retail trading.

LIQUIDITY
How easily you can trade without moving the price. Majors have oceans of it; exotics have puddles.

LOT
A standard position size: 100,000 units of the base currency. Minis (10k) and micros (1k) exist for sane humans.

MAJOR
A heavyweight dollar pair: EUR/USD, GBP/USD, USD/JPY and friends. Tightest costs, deepest markets.

MARGIN
The deposit your broker holds while a leveraged trade is open.

MARGIN CALL
The broker telling you your account can no longer support your open trades. You never want the call.

PIP
The market's inch — the standard unit of price movement, usually the fourth decimal place.

PIPETTE
A tenth of a pip. Fine print.

POSITION SIZING
Deciding how much to trade so a normal loss stays boring. The most underrated skill in the game.

QUOTE CURRENCY
The second currency in a pair — the one the price is counted in.

R-MULTIPLE
Profit or loss measured in units of what you risked. Risked £50, made £100 — that's +2R. The only honest scoreboard.

RANGE
A market bouncing between a floor and a ceiling, going nowhere with enthusiasm.

RESISTANCE
A ceiling where selling has repeatedly shown up.

RETEST
Price returning to a broken level to check it holds from the other side. The polite entry.

RISK-REWARD
What you stand to make versus what you're risking. 2:1 means the win pays double the loss.

SLIPPAGE
The difference between the price you wanted and the price you got, usually in fast markets.

SPREAD
The gap between bid and ask — the cost of every trade, paid on the way in.

STOP LOSS
The pre-set exit that caps a loss when the idea is proven wrong. Non-negotiable in our book.

SUPPORT
A floor where buying has repeatedly shown up. The market's memory.

SWAP
The small overnight charge (or credit) for holding a position, driven by interest-rate gaps.

TAKE PROFIT
The pre-set exit that banks the win at your target.

TREND
The market's prevailing direction — higher highs and higher lows up, the mirror down.

VOLATILITY
How violently a market moves. Opportunity and danger are the same number.

CONTINUE YOUR JOURNEY.

This book is Playbook 10 of 15 in Trading Foundry University. Everything below is free:

- **The films** — complete strategy guides on YouTube: **youtube.com/@thetradingfoundry**.
- **The Trading School** — structured lessons and quizzes: pip-insight.co.uk/school.
- **The Foundry Journal** — log every trade, track your equity curve and discipline: pip-insight.co.uk/journal. Your data never leaves your device.
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